BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

August 2019

Prepared Testimony of:

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State of New York
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Q. Please state your name, employer and business address.
A. My name is John Holst. I am employed by the New York State Department of Public Service (Department) at Three Empire State Plaza in Albany, New York, 12223.
Q. What is your position in the Department?
A. I am employed as a Utility Analyst 2 in the Management and Operations Audit section of the Office of Accounting, Audits, and Finance.
Q. Please describe your educational background and professional experience.
A. I hold a Bachelor of Arts in English from the State University of New York at Stony Brook. I have been employed by the Department as a Utility Analyst since June of 2013. I am responsible for the oversight of management and operations audits, as well as the implementation of the resulting recommendations.
Q. Have you supervised management and operations audits of New York State utilities?
A. Yes. I have served as Project Manager for several operations audits of utility companies. In this role, I have been responsible for

leading the development of the Request for Proposals which defines the scope of each audit, leading the Staff team which selects the independent consultants to perform the audits, overseeing and participating in audit field work, and reviewing and communicating audit findings and recommendations to Staff and the Commission. I have also managed the implementation of audit recommendations as Implementation Manager for two operations audits. In this role, I have been responsible for ensuring that utilities submit timely implementation updates, reviewing the completion of audit recommendations, and reporting implementation status to Staff and the Commission. In addition, I serve as a Subject Matter Expert on the topics of Program and Project Management and Work Management for management and operations audits.

Q. In what cases have you performed these functions?

A. I am the Project Manager and Implementation Manager for Case 13-M-0314, an operations audit which reviewed the accuracy and effectiveness of

certain data provided to the Department by major New York utilities. I am also the Project Manager and Implementation Manager for Case 13-M-0449, an operations audit which examined the adequacy of staffing levels at major New York utilities, and the use of contractors. I am also the Project Manager for Case 17-C-0757, a management and operations audit of Time Warner Cable Information Services. I am a Subject Matter Expert for Case 18-G-0394, a management and operations audit of National Fuel Gas Corporation.

Q. Have you previously testified before the Commission?

A. Yes, I provided testimony in Cases 17-E-0238 and 17-G-0239, in the matter of Niagara Mohawk Power Corporation (NMPC).

Q. Are you sponsoring any exhibits?

A. Yes. I am sponsoring one exhibit, Exhibit___ (JH-1).

Q. Will you refer to any information provided by Brooklyn Union Gas Company (KEDNY) and KeySpan East Gas Corp., (KEDLI) during the discovery phase of this proceeding in your testimony?

A. Yes, I will refer to, and have relied upon, responses to Information Requests (IRs) provided by KEDNY and KEDLI. These responses are contained in Exhibit___(JH-1).

Q. What is the purpose of your testimony in this proceeding?

A. Public Service Law, Section 66(19)(c), requires that "upon the application of a gas or electric corporation for a major change in rates…the Commission shall review that corporation's compliance with the directions and recommendations made previously by the Commission, as a result of the most recently completed management and operations audit." Since KEDNY and KEDLI's rates were last reset in Cases 16-G-0058 and 16-G-0059, the Companies have participated in the implementation of recommendations from three audits which examined various aspects of KEDNY and KEDLI's management and operations. Accordingly, my testimony will address KEDNY and KEDLI's status in relation to three recently completed management and operations audits. These audits include Case 13-G-0009, which was a Comprehensive Management

and Operations Audit of National Grid USA's New York Gas Companies (the gas audit); Case 13-M-0314, which reviewed the Accuracy and Effectiveness of Certain Reliability and Customer Service Systems at all Gas and Combination Gas and Electric Utilities in New York State that Provide Statistics to the Commission on the Services They Provide Customers (the data audit); and Case 13-M-0449, a Focused Operations Audit of the Internal Staffing Levels and the Use of Contractors for Selected Core Utility Functions at Major New York Energy Utilities (the staffing audit). I will also discuss Case 18-M-0195, an ongoing management and operations audit of National Grid's New York electric and gas operations, which includes KEDNY and KEDLI.

Q. Please provide an overview of the management and operations audit process.

A. To initiate a management and operations audit, the Commission issues a Request for Proposals (RFP) for a consultant to conduct an audit. The RFP details the scope of work, deliverables, and expected audit schedule. A consultant is

selected by the Commission to conduct the audit. The chosen consultant, the Department, and the utility or utilities subject to the audit then enter into a multi-party agreement which governs the conduct of the audit. Typically, the consultant develops a work plan, interviews Company personnel, reviews utility documents, performs their analysis, and submits an audit report to Staff. The Commission then releases the report to the public.

Q. What are a utility's responsibilities regarding the outcome of a management and operations audit report?

A. When the Commission issues a management and operations audit report, utilities are required by Public Service Law §66(19)(b) to submit implementation plans for audit recommendations to the Commission. The Commission may then approve, modify, or reject the submitted implementation plan. Upon the Commission's approval or approval with modification, the implementation plan becomes enforceable.

Q. Please discuss Staff's responsibilities following the issuance of a management and

operations audit report.

A. Staff is responsible for monitoring a utility's implementation of audit recommendations. As utilities implement the recommendations, they submit regular implementation updates, as well as evidence of implementation to Staff for review and approval. Accordingly, audit recommendations generally fall into one of three categories of completion status: In Progress, Pending Review (reported as complete by the utility but under review by Staff), and Completed.

Q. What is the background and status of the gas audit?

A. Case 13-G-0009 was a comprehensive management and operations audit of National Grid USA's New York gas companies which examined the gas operations of KEDNY and KEDLI as well as NMPC. The audit was performed by NorthStar Consulting Group. The final audit report was issued on October 2, 2014 and included 31 recommendations for improvement at KEDNY, KEDLI, and NMPC. The Commission directed the implementation of those recommendations in its "Order Approving an

Implementation Plan" issued on May 14, 2015. In accordance with that Order, KEDNY and KEDLI, along with NMPC, filed timely written implementation updates and met with Staff between written updates. The latest implementation update was filed with the Department's Secretary on September 17, 2018. This filing identified 31 recommendations as Implemented, two of which were pending Staff's approval at the time of the filing. On September 28, 2018, the Office of Accounting, Audits and Finance issued a letter to KEDNY, KEDLI and NMPC confirming the completion of the implementation of all audit recommendations from Case 13-G-0009.

Q. What is the background and status of the data audit?

A. Case 13-M-0314 was an operations audit of the effectiveness of the programs and processes used at the utilities to collect data on reliability, safety, and customer service, and the accuracy of the calculations of this data as reported to the Department and the Commission. The audit was performed by Overland Consulting Group. The

final report was issued on April 20, 2016 and included 51 recommendations for improvement at KEDNY as well as 51 recommendations for improvement at KEDLI. The Commission directed the implementation of those recommendations in its "Order Approving Implementation Plans" issued on March 10, 2017. In accordance with that Order, KEDNY and KEDLI, along with NMPC, filed timely written implementation updates and met with staff between written updates. The latest implementation update was filed with the Department's Secretary on March 8, 2018. This filing identified that all recommendations for KEDNY and KEDLI had been implemented. On March 13, 2018, the Office of Accounting, Audits, and Finance issued a letter to KEDNY and KEDLI, as well as NMPC, confirming the completion of all audit recommendations from Case 13-M-0314.

Q. What is the background and status of the staffing audit?

A. Case 13-M-0449 was an operations audit of the internal staffing levels and the use of contractors for selected core utility functions at major New York energy utilities. The audit

was performed by Liberty Consulting Group. The final audit report was issued on February 21, 2017 and included 27 recommendations for improvement at KEDNY, KEDLI and NMPC. The Commission directed the implementation of those recommendations in its "Order Approving Implementation Plans" issued on December 15, 2017. In accordance with that Order, KEDNY, KEDLI, and NMPC filed timely written implementation updates and met with staff between written updates. The latest implementation update was filed with the Department's Secretary on April 15, 2019. The April 15 filing identified that all 27 recommendations had been implemented. On July 30, 2019 the Office of Accounting, Audits, and Finance issued a letter to KEDNY and KEDLI, as well as NMPC, confirming the completion of all audit recommendations from Case 13-M-0449.

Q. Are KEDNY and KEDLI subject to any ongoing management and operations audits?

A. Yes, Case 18-M-0195 is a comprehensive management and operations audit of National Grid USA's New York Electric and Gas Utilities. This

case was initiated on May 17, 2018 by the Commission's "Order Instituting Proceeding and Authorizing Issuance of a Request for Proposals." The audit is ongoing. Per the schedule in the RFP for this audit, a final report is expected in September 2019, and is typically released by the Commission thereafter.

Q. Have KEDNY and KEDLI included costs for conducting future management and operations audits in their revenue requirement?

A. No.

Q. Have KEDNY and KEDLI included implementation costs resulting from any audit recommendation in their rate filing?

A. No.

Q. As a result of your review of the Companies' management and operations audit compliance, do you recommend an adjustment to the Companies' rate request?

A. No.

Q. Do you have any additional recommendations or adjustments to the Companies' proposals for implementation of these recommendations?

A. No

Q. Does this conclude your testimony at this time?
A. Yes, it does.